



31%
of businesses
worldwide
planned to
expand through
a merger or
acquisition in
the three years
from 2014

MERGER AND ACQUISITION TYPES

Conglomerate

Combining two companies with nothing in common: for example, in 1985, tobacco-producer Philip Morris purchased General Foods, a new line of business unconnected to legal wrangles around smoking.

Market extension

Combining two companies that sell the same products but in different markets: for example, in 1996, the Union Pacific Railroad Company acquired the Southern Pacific Rail Corporation to link railroads in adjacent US regions.

Product extension

Combining two companies that sell different but related products in the same market: for example, in 2014, Microsoft bought Nokia's mobile-phone unit to address flagging PC sales and its weakness in the mobile device market.

